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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

July 8, 2026

CASE NUMBER

25STCV30438

MOTION

Demurrer to Complaint;

Motion to Strike Portions of Complaint

MOVING PARTY

Defendant General Motors LLC

OPPOSING PARTIES

Plaintiffs Rufino
O. Leon and Juana Leon

MOTION

Plaintiffs Rufino O. Leon and Juana Leon ("Plaintiffs") brought this action against sued Defendant General Motors LLC ("Defendant"), alleging they bought a defective motor vehicle Defendant manufactured. Defendant demurs to Plaintiffs' complaint and moves to strike portions of the complaint. Plaintiffs oppose the demurrer and motion to strike.

ANALYSIS

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In ruling on a demurrer, the court must "liberally construe[]" the allegations of the complaint. (Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238 (Perez).)

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule 3.1322(b).) On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a)-(b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782.)

Fourth Cause of Action: Breach of Implied Warranty of Merchantability

Defendant claims the statute of limitations bars Plaintiff's claim for breach of the implied warranty of merchantability. The statute of limitations on a breach of warranty claim for consumer goods is four years. (Com. Code, § 2725, subd. (1);

see also Cardinal Health 301, Inc. v. Tyco Electronics Corp. (2008) 169 Cal.App.4th 116, 129 (Cardinal Health) [“under section 2725, the general limitations rule for a breach of warranty cause of action is four years from the date the goods are delivered (regardless of the date the buyer discovers the breach), unless the ‘warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance’”]; Carrau v. Marvin Lumber & Cedar Co. (2001) 93 Cal.App.4th 281, 291 [“[t]he vast majority of the courts ... have concluded that the ‘future performance’ exception to the four-year limitations period applies only when the seller explicitly has agreed to warrant its product for a defined period of time. These courts reason that California Uniform Commercial Code section 2725 reflects the drafters' intention to establish a reasonable period of time—four years—beyond which sellers need not worry about stale warranty claims”].)

In the instant case, Plaintiffs allege they discovered Defendant’s wrongful conduct on August 20, 2025 when they requested a buyback and/or restitution of the vehicle from Defendant. (Complaint, ¶ 24.) However, the breach of an implied warranty accrues upon delivery of the goods, regardless of when the buyer discovers the breach. (See Cardinal Health, supra, 169 Cal.App.4th at p. 134 [“Because an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that ‘explicitly extends to future performance of the goods’”].)

Plaintiffs allege they entered into the warranty contract with Defendant on October 14, 2020. (Complaint, ¶ 6.) As concerning their implied warranty claim, Plaintiffs thus had until on or about October 14, 2024 to file the complaint in this action. But Plaintiffs did not file it until October 17, 2025. Accordingly, the Court sustains the demurrer to the fourth cause of action as it appears to be time-barred.

Generally, leave to amend must be allowed when there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335. 348.) Although, for the reasons discussed above, the Court senses it may be futile to permit Plaintiffs to amend this cause of action, in an abundance of caution, the Court will provide

Plaintiffs with an opportunity to do so.

Fifth Cause of Action: Fraudulent Inducement-Concealment

At first, Defendant maintained the fraud claim is time-barred. In its reply brief in support of the demurrer, Defendant has now indicated it is withdrawing the argument in this regard. (See Reply in Support of Demurrer to Complaint, p.1.) Therefore, the Court will not address the issue.

However, Plaintiffs do not adequately allege their cause of action for fraud. Plaintiffs must allege fraud with particularity. “This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect.” (Wilhelm v. Pray, Price, Williams & Russell (1986) 186 Cal.App.3d 1324, 1331.) “There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336, internal quotations and citations omitted.)

Plaintiffs allege Defendant knew of defects in the engine of the vehicle through its exclusive knowledge of such things as non-public pre-releasing testing data and early consumer complaints, and Defendant, nonetheless, concealed the defects from Plaintiffs. (Complaint, ¶¶ 51, 53, 57.) However, a claim for fraud must result from “direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312.) Plaintiffs do not allege specific facts regarding Plaintiffs’ interactions with Defendant such that Defendant concealed these facts from Plaintiffs.

In opposition, Plaintiffs

cite OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835 (OCM Principal), which is not on point. In that case, an investment bank made statements in an offering memorandum for a company's promissory notes, which were misleading due to the bank's failure to disclose other pertinent facts. The Court concluded the bank had a duty to disclose the company's "circumstances to potential purchasers." (Id. at p. 860.) In this case, however, Plaintiffs do not allege Defendant "ma[de] partial representations but also suppress[ed] some material facts." (Id. at p. 859, internal quotations and citations omitted.) Instead, Plaintiffs assert Defendant had superior and exclusive knowledge of material facts not known to Plaintiffs. (Complaint, ¶¶ 51, 56.) Plaintiffs' claims are premised on a distinct theory of liability, and OCM Principal is not relevant.

Likewise, Plaintiffs' reliance on Bader v. Johnson & Johnson (2022) 86 Cal.App.5th 1094 (Bader) is misplaced. As the Court of Appeal noted in Bjoin v. J-M Manufacturing Co., Inc. (2025) 113 Cal.App.5th 884 (Bjoin), the dicta in Bader "is too broad and vague to constitute a standard which is applicable in other cases." (Bjoin, supra, 113 Cal.App.5th at p. 904.)

Defendant argues the economic loss rule bars the cause of action for fraud. But the economic loss rule does not apply to claims for fraud. (See Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843 ["under California law, the economic loss rule does not bar plaintiffs' claim here for fraudulent inducement by concealment"]; see also County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 328 [Court of Appeal concluded the fraud cause of action was independent of a breach of contract claim and "the California Supreme Court's decision in [Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979] precludes the application of the economic loss rule to any intentional affirmative fraud action where the plaintiff can establish that the fraud exposed the plaintiff to liability"].) Thus, this argument is unfounded.

Notably, in support of this contention, Defendant also cites Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1 (Rattagan), which is not on point. Rattagan does not debunk the rationale discussed above in that the California Supreme Court confirmed "[a] case in which the plaintiff sues a contractual party for fraud based on conduct committed during the course of a contractual relationship falls outside the economic loss doctrine." (Id. at 44.) Thus, the Court held "[u]nder California law, a plaintiff may assert a cause of action for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the claim can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract." (Id. at 45.) In the instant case, Plaintiffs allege they would not have purchased the vehicle Defendant manufactured if Defendant had not concealed facts from them. (Complaint, ¶¶ 54, 60.) As such, Plaintiffs' allegations are of conduct that necessarily falls outside the contractual relationship.

Defendant's reliance on the independent tort principle is likewise misplaced. In Rattagan, the Court noted, "Whenever a contract breach causes physical harm to a person or property, the economic loss rule's limitation gives way to the recognition that an independent tort duty of care was likely also breached, resulting in an injury not contemplated and provided for by the parties. This is so because any contractual breach resulting in physical injury or property damage normally resides outside the reasonable expectations of the parties when they entered their contractual relationship. The inverse may also be true. When a contractual breach results only in economic losses, the pecuniary injury may fall within the scope of parties' precontractual expectations and their allocation of risks, and it is less likely to implicate the breach of a tort duty independent of their contractual rights and obligations." (Rattagan, supra, 17 Cal.5th 1 at p. 26.)

As set forth above, Plaintiffs allege they would not have purchased the vehicle Defendant manufactured if Defendant had not concealed facts from them. As such, Plaintiffs' allegations are of conduct that necessarily falls outside the contractual relationship, and independent tort principles do not bar their claims.

Nonetheless, as discussed above, in their fifth cause of action, Plaintiffs have not established through their allegations the threshold facts regarding Plaintiffs' interactions with Defendant, such that Defendant concealed material facts from them. Therefore, the demurrer to this cause of action is sustained, but Plaintiffs will be given an opportunity to amend it.

Motion to Strike

Code of Civil Procedure section 871.24, subdivision (a) requires a consumer, at least 30 days before commencing a claim under the Song-Beverly Consumer Warranty Act, to notify the manufacturer of problems with the subject vehicle and demand the manufacture repurchase or replace the vehicle. However, when a consumer seeks restitution or replacement without complying with the notice requirement, and the consumer possesses the vehicle when the complaint is filed, the consumer shall not seek civil penalties. (Code Civ. Proc., § 871.24, subd. (h).)

Defendant seeks to strike portions of Plaintiffs' complaint - - Paragraphs 29, 30, 31, 36, 39, and subdivision (f) of the Prayer for Relief - - in which Plaintiffs seek civil penalties because Defendant contends Plaintiffs have not alleged in their complaint having provided notice to Defendant.

In their opposition to the motion, Plaintiffs assert they "requested [Defendant] repurchase or replace the Vehicle 30 days prior to filing suit" (see Opposition, p. 2) and cite to Paragraph 26 in their complaint. They claim to have made the demand on August 20, 2025, while they filed the lawsuit on October 17, 2025. In Paragraph 24 (not 26) in the complaint, Plaintiffs do allege, on August 20, 2025, they requested a buyback and/or restitution from Defendant.

In considering a demurrer, the pleadings are to be liberally construed, and inferences are to be drawn in favor of the plaintiff. (Perez, supra, 209 Cal.App.4th at p. 1238.) The Court concludes Plaintiffs' allegation concerning notice to Defendant is sufficient for pleading purposes. To the extent, Defendant wishes to challenge Plaintiffs' entitlement to civil penalties down the line, it may obtain further information regarding Plaintiffs' claim through the discovery process and revisit this issue at a later time through an evidentiary motion, if appropriate. (See, e.g. Khoury v. Maly's of Cal., Inc. (1993) 14 Cal.App.4th 612, 616 ["A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures"].)

Accordingly, Defendant's motion to strike is denied.

CONCLUSION AND ORDER

Defendant's demurrer to the fourth and fifth causes of action in the complaint is sustained with leave to amend. Plaintiffs are to file an amended complaint within 20 days of notice of this order.

The motion to strike Plaintiffs' allegations concerning entitlement to civil penalties is denied.

Defendant is ordered to provide notice of the Court's ruling and to file proof of service of same.